

ALT pitch deck

PITCH — ALT — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy here at \$3.145. Place a single 0.25%-of-book starter only if the stock trades below \$2.70, or if one of two named de-overhang events happens first.

What we believe

Altimune is a small drug developer with one asset that matters: pemvidutide, an injectable now in a Phase 3 trial (PERFORMA) for MASH — fatty liver disease with inflammation and scarring. It has a second asset, the same drug repurposed for alcohol use disorder, which produced a clean mid-stage result and has an FDA meeting pending.

Three things we think are true and worth stating plainly:

1. **The company is funded for the trial it started.** \$519M of cash and investments as of June 30, against a Phase 3 that reads out in 2029. That is real and we verified it from the primary source ([Q2 2026 results, 8/12/26](#)).
2. **The prize, if the drug works, is far larger than today's price.** At a \$645M market value, the stock roughly doubles even if the drug only ever reaches \$500M of peak annual sales. It would be a 5x at what Wall Street currently models (\$2.5B). The size of the win is not the problem here.
3. **The only real question is the odds and the wait.** Today's price implies roughly a 14–20% chance the drug succeeds. Our honest range for that probability is 15–25%. That makes the stock *fair to slightly cheap* — not the bargain our first pass claimed, and not expensive either.

We do not have a differentiated view on the science. We have a differentiated view on the *arithmetic* — specifically that both the bull case and the bear case circulating on this name are built on mis-marked numbers, and correcting them lands you in the middle.

What the market believes

Wall Street is uniformly bullish and completely disbelieved by the tape. Consensus price targets sit at roughly \$16.00–16.60; one broker (JMP) is at \$25. Peak-sales models run \$2.5B (consensus) to over \$5B. The stock is \$3.145 — down 51% from its 52-week high of \$6.44, and only 23% above its 52-week low of \$2.56.

So the market is not “unaware.” The market has read the same research and marked the stock at roughly one-fifth of the average target. Translated: analysts are implicitly assuming something like a 40% chance of success; the tape is paying for about 15%. Everyone is looking at the same drug and disagreeing about the odds, not the facts.

There is also a structural reason the price is pinned. In April the company raised \$225M by selling stock at \$3.00 *with a warrant attached to every share* — 75M warrants struck at \$3.00. Anyone who wants exposure to this drug bought it four months ago at a price one cent below today's, and got a free three-to-five-year call option on top. New buyers of common stock are buying the worse half of that deal.

Why we might have edge

Honestly, less than we first thought. Here is what actually survives:

- **The warrants are mispriced by both camps, in opposite directions.** The warrants expire at the *earlier* of 2031 or **45 days after a successful Phase 3 readout** ([offering pricing PR, 4/23/26](#)). That clause matters enormously and almost nobody prices it. Bulls value the warrants at zero. Bears value them as ordinary five-year options. Both are wrong: the good outcome kills the option 45 days after it happens, so the option is worth less than a five-year vanilla — but it also means the overhang *self-liquidates*, converting into \$225M of cash for the company and then disappearing, rather than capping the stock for three years. Our mark: ~\$101–124M, versus a bear mark of \$149–174M and a bull mark of zero.
- **The 24-week / 52-week mismatch.** The Phase 2b biopsy result everybody quotes was measured at **24 weeks** (the peer-reviewed paper is literally titled “IMPACT: 24-week results,” [PubMed 41237796](#)). The Phase 3 measures at **52 weeks**. Placebo patients in these trials get better over time on their own — a comparable 52-week trial (ESSENCE) showed 34.3% of placebo patients improving, versus the 19.1% placebo rate in the 24-week data. The margin that looks large at 24 weeks compresses on the endpoint that will actually decide approval. We searched published coverage for this specific argument and did not find it. This is the one genuinely non-obvious thing in the file, and it cuts *against* the stock.
- **The alcohol-use-disorder asset is unpriced by everyone, including us.** It hit its mid-stage endpoint (–1.45 heavy drinking days per week, $p=0.0014$; 42.2% of patients reached zero heavy drinking days versus 17.4% on placebo) and has an FDA end-of-Phase-2 meeting pending. Bears treat it purely as a future cash drain (the trial isn't funded). Bulls call it free. It is neither — it is a partnerable asset with a dated regulatory checkpoint, and it is the only near-term event in a stock whose central flaw is a 2029 timeline.

Why it might be priced in

Most of it is.

- **The endpoint design we thought was insight is in a press release.** The Phase 3's “and/or” composite endpoint is the same construct used by the two approved/late-stage competitors. It's printed in the [trial initiation PR of 8/3/26](#). Anyone who read one press release knows it. That was our claimed edge and it does not exist.
- **The cash is not a cushion, it's a budget.** The company guides runway “through” the 2029 readout — meaning it ends at roughly zero, not with money left over. Quarterly cash burn was about \$17M when the Phase 3 was barely started; \$519M over 3.4 years implies ~\$153M/year.

Burn roughly triples from here. And that budget *excludes* the confirmatory trial required for full approval, the unfunded alcohol Phase 3, and any sales force. More share issuance is structural, not optional.

- **Competitive position is fourth-in-line.** Resmetirom is approved. Semaglutide hit *both* co-primary endpoints in MASH. Pemvidutide has never shown biopsy-confirmed fibrosis improvement at any timepoint — the 48-week disclosure was based on non-invasive markers, not biopsy. Fibrosis is what drives labels and insurance coverage.
- **Zero commercial track record.** No approvals, no marketed products, ever. That is a legitimate discount for a company that would be fourth to market.

What could go wrong

Three ways we lose money, ranked.

1. The drug simply doesn't clear the bar at 52 weeks. (Most likely; no useful tripwire.) The Phase 2b win was at 24 weeks against a 19.1% placebo rate. At 52 weeks the placebo rate roughly doubles, and the endpoint that matters most — fibrosis improvement on biopsy — has never been demonstrated by this drug at any timepoint. The stock in that scenario is worth cash-minus-burn, call it under \$1.50.

This is the failure with no monitorable tripwire, and that is the honest problem with the whole position. Between today and the 2029 readout there is essentially no disclosure plane. Enrollment quality, site selection, dropout rates, placebo-response drift, protocol amendments — all of the things that determine the answer are invisible from outside until the print. Quarterly filings will tell us cash and headcount, not whether the trial is working. **Unknown-unknown class: silent-process risk on a multi-year single-binary asset** — we would be holding an unobservable for three years and calling the interval “research.” We cannot instrument our way out of this one, and we should not pretend a sensor list fixes it.

2. Dilution arrives before the answer does. (Monitorable.) Runway ends *at* the readout, not after it. The confirmatory trial, the alcohol Phase 3, and any commercial build are all unfunded. The company has used an at-the-market program repeatedly (Leerink; earlier Evercore/JMP/B. Riley). Any bad tape gets met with more shares at a lower price. Tripwire: new S-3/424B5 filings, ATM usage disclosed in the 10-Q, share count creeping above 194.5M common.

3. Reflexive and structural: we would be buying the exact dip we predicted, in the exact zone we said supply lives. (Partly monitorable — and one leg is unverified.) Our proposed entry is “below \$2.70.” The entire reason we picked that number is a belief that holders of the April warrants hedge by shorting stock, creating mechanical supply that pushes the price down there. **Neither bench verified that premise.** Nobody pulled short interest, borrow cost, or the composition of the April book. The pack shows four 13G filings clustered 5/01–5/15/26, which is the signature of long-only institutional buyers — and long-only buyers do *not* delta-hedge. If the April book is long-only, there is no mechanical supply, \$2.70 never prints, and our gate is simply a way of never owning the stock while telling ourselves we're disciplined. Conversely, if it is hedged supply, we would

be stepping in front of a flow we ourselves forecast — which is exactly the mistake we have a rule against.

On our own footprint: a 0.25% starter in a \$645M-market-cap name is small in absolute terms, but we have **not** verified average daily volume for this ticker, so we cannot yet state our order as a fraction of it. That check is owed before any order is staged, not after.

Doctrine interactions worth naming: we cannot treat this as a “fairly-paid risk” starter, because fairness here rests on a success-probability estimate neither bench actually sourced — it is an assumption, not a verified input. And the “clean court gets a minimum starter” default does not apply, because the bear bench produced a specific, named, decisive objection (the 24-week/52-week basis shift). Separately, a position bought today and held to a 2029 readout is a three-year commitment; averaging down turns one small mistake into a large slow one, which is why the proposal is a single rung and not a ladder.

If this position loses money, the most likely reason will be that pemvidutide’s 24-week efficacy margin does not survive to the 52-week biopsy endpoint against a placebo arm that heals on its own — and we will have no way to see it coming, because there is no disclosure between now and the 2029 print.

What we checked ourselves

Claim	How checked	Found	Confirmed?
\$519M cash and investments	Decomposed the Q2 balance sheet in the 8/12/26 results PR	First pull showed only \$326.3M (cash \$63.008M + short-term investments \$263.273M); the long-term investments line was missing from our initial read. Full figure holds.	Yes — after correcting our own first pull
Offering terms: 64.25M shares + 10.75M pre-funded @ \$3.00, 1:1 warrants @ \$3.00, expiring earlier of 2031 or 45 days post successful Phase 3	Read the 4/23/26 pricing PR verbatim	Terms exact as stated	Yes
“The pipeline is priced at negative \$381M” — our bull bench’s headline	Recomputed on filing share counts	Our own error. 205.224M shares × \$3.145 = \$645.4M market value, minus \$519M cash = positive \$126M . Enterprise value already subtracts cash; we subtracted it twice. The headline was arithmetically impossible against our own per-share figure.	No — refuted, our bench
Warrants are worth \$149–174M (bear bench, 5-year Black-Scholes)	Audited the inputs against the contract	Our own error, other direction. The bear bench plugged a 5-year life into an option that terminates 45 days after the very event that makes it valuable. Correct life ≈3.2 years with the post-event tail extinguished: ~\$101–124M. The bull bench’s opposite error was marking them at zero.	Reduced — bear bench overstated ~20–25%

Claim	How checked	Found	Confirmed?
“The trial’s composite endpoint is a non-consensus insight”	Read the 8/3/26 trial initiation PR	Our own error. It is the industry-standard construct, printed in the company’s own press release, identical to two competitor trials.	No — refuted, our bench
Phase 2b biopsy result was at 24 weeks, not 48	PubMed 41237796 — paper title is “IMPACT: 24-week results”; the 48-week disclosure is non-invasive markers	Confirmed. Marketing venue said “Key Measures of Success at 48 Weeks”; the peer-reviewed venue says the biopsy fibrosis co-primary was missed. A basis shift from biopsy to non-invasive tests between venues.	Yes
Runway ends <i>at</i> the readout	Company’s own wording (“through” the 2029 52-week readout) plus filed cash-flow history (operating cash flow $\approx$ –\$17M/quarter)	Confirmed. $\$519\text{M} \div 3.4 \text{ years} \approx \$153\text{M}/\text{year}$ vs $\sim \$70\text{M}/\text{year}$ trailing — burn roughly triples, terminal cash $\approx$ zero.	Yes
Street targets \$16.00–16.60, JMP \$25, peak sales \$2.5–5B	Consensus pull	Confirmed. But our bear bench’s framing — “we agree with the street, so there’s no edge” — was wrong as stated; agreeing with analysts is not by itself a reason to reject. The substance (the gap is about success probability, and nobody named a mechanism) stands.	Facts yes; framing overturned
Bear bench’s fair range = “approximately fair”	Read its own numbers back	Our own error. Its stated fair probability band was 15–25%, and the tape implies 14–20%. At the <i>top</i> of its own band the stock is 40–65% cheap. It presented the floor of its range as the midpoint.	No — bear bench overstated its conclusion
Hedged supply from April warrant holders — the premise setting <i>every</i> entry price in this analysis	Not checked. No short interest, no borrow, no 13F/13G composition of the April book.	Four 13G filings cluster 5/01–5/15/26, which points toward long-only holders who don’t hedge. If so, the premise fails and every price gate here is mis-set.	No — highest-value open item
Insider selling into the mid-year strength	Form 4 cadence, 2026	5/01 cluster is annual grants; 8/03 and 8/13 are singles. No material insider distribution.	Yes — clean
Live broker quote	Attempted; broker connection unavailable at bench time	Working off the evidence pack’s \$3.145. Two benches disagreed on tape (\$3.20 / \$3.195 / \$3.145) purely from using different snapshots.	No — coverage gap
Value of the alcohol-use-disorder asset	Neither bench modeled it	Bear treated it only as a future cash drain while simultaneously naming a \$200M partnership as thesis-changing — internally inconsistent. Bull called it free.	No — unpriced

PROPOSED ENTRY BANDS

Today’s action: no purchase. We hold no position and no orders. At \$3.145 the implied success probability (14–20%) sits inside our honest range (15–25%), so we would be paying fair value for a

three-year binary with no interim information.

	Level	Basis
Entry gate	Below \$2.70	Warrants ~10% out of the money — enough that the common stub reclaims meaningful upside versus the April book. Rejects the bull bench's \$2.90 (warrants only 3% out of the money there, so we'd get essentially the April deal without the warrant) and the bear bench's \$2.50 (too deep, because the overhang self-liquidates on success rather than capping the stock for three years). Note: \$2.70 is 5% above the 52-week low of \$2.56.
Size if triggered	0.25% of book, one rung, no ladder	A 2029 resolution means averaging down is a three-year compounding commitment to a single mistake. One rung or none. Order must be sized against verified average daily volume before staging — that figure is not yet checked.
Adds	None below the gate	Deliberately no second rung. If it goes to \$2.00 that is information, not a discount.
Exits / trims	None defined — no position to exit	If a starter is ever filled: trim at \$6.44 (the 52-week high) or on a positive readout, whichever comes first. On a failed readout, the position is written to cash-minus-burn and closed, with the tax-year landing checked before the sale.
Overrides (buy without the price gate)	(a) An alcohol-use-disorder partnership with ≥\$200M non-dilutive upfront — removes the funding overhang and supplies an outside party's valuation. (b) A PERFORMA interim or a full IMPACT publication showing biopsy-confirmed fibrosis improvement at ≥48 weeks — this is the single datum that moves success probability from ~17% toward the street's ~40%.	Both benches independently named these. They are discrete facts, not price levels, and they beat the price gate.
Reopen the whole analysis if	The April book is verified as long-only and unhedged	Then there is no mechanical supply, \$2.70 may never print, and the gate should be re-derived from valuation alone rather than from flow.

Catalyst dates: - **2026-11-05** — Q3 earnings. **Unconfirmed** — this is a data-vendor estimate, not a company-announced date; Q2 printed 8/12/26. ~50 trading sessions out. Not a near-term event. - **FDA end-of-Phase-2 meeting for alcohol use disorder** — pending, **date not disclosed**. The only near-term catalyst that exists, and we don't have its date. Getting it is worth more than any further modeling. - **2029 (year only)** — PERFORMA 52-week Phase 3 readout. The event the entire thesis resolves on.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.5 (deck-provisional: Bear bench's deeper level, retained as a contested marker and a re-review trigger, not an add.)
- filing watch: 8-K until 2027-02-21 (deck-provisional: Carries both buy-without-the-gate overrides: an alcohol-use-disorder partnership with $\geq \$200\text{M}$ non-dilu)
- dated pack ALT|2026-11-05: ALT: Q3 2026 earnings — vendor-derived estimate, no company PR names it; ~50 sessions out. (date confirmed=False)
- dated pack ALT|2029-12-31: ALT: PERFORMA Phase 3 52-week MASH readout — year only, no company-confirmed date; the event the entire thesis resolves on and the trigger t

What remains unverified

- **Whether the April warrant holders hedge.** The single highest-value open item. Short interest, borrow cost, and the 13F/13G composition of the April book were never pulled. Four clustered 13G filings hint at long-only holders, which would invalidate the flow premise behind \$2.70, \$2.90, and \$2.50 alike.
 - **The success probability itself.** Our 15–25% band is a judgment, not a sourced figure. Because it is unsourced, “this stock is fairly priced” is an assumption we are making, not a fact we have established — which is precisely why this does not qualify as a fairly-priced-risk starter today.
 - **Warrant volatility input.** Our \$101–124M mark uses an assumed 70–90% volatility band inherited from the bear bench, not a computed realized volatility. The *tenor* correction (3.2 years, not 5) is structural and holds either way; the dollar figures carry the inherited assumption.
 - **Live price.** Broker market-data connection was unavailable; all math runs off the pack's \$3.145. Three benches produced three different tape prints from three different snapshots — a real hygiene failure, not a rounding issue.
 - **Average daily volume.** Not pulled, so we cannot yet state our proposed order as a share of daily liquidity. Required before staging.
 - **Confirmed Q3 earnings date.** Vendor-derived only.
 - **FDA end-of-Phase-2 meeting date for the alcohol program.** Pending, undisclosed. This is the nearest catalyst and we do not know when it is.
 - **Any valuation for the alcohol asset.** Carried at zero in the base case while simultaneously being named as thesis-changing. That inconsistency is unresolved.
 - **Whether the peer group is competitive or financing-driven.** The comparison-set file used for the cohort narrative was unreadable; if the right frame is competitive rather than financing, the risk classification changes.
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